

Disclaimer: In view of the European Commission's transparency policy, the Commission is publishing the texts of its Comprehensive Economic Partnership Agreement with Indonesia following the Ministerial announcement on 23 September 2025. These texts are published for information purposes only and may undergo further modifications including as a result of the process of legal revision. These texts are without prejudice to the final outcome of the Agreement between the EU and Indonesia. The texts will be final upon signature. The Agreement will become binding on the Parties under international law only after completion by each Party of its internal legal procedures necessary for the entry into force of the Agreement.

CHAPTER 14

ENERGY AND RAW MATERIALS

ARTICLE 14.1

Principles

1. Each Party retains the sovereign right to determine whether areas are available for exploration and production of energy goods and raw materials in its territory, as well in its archipelagic and territorial waters, continental shelf and its exclusive economic zone, determined in accordance with the UN Convention on the Law of the Sea.
2. Consistent with the provisions of this Chapter, the parties preserve their right to adopt, maintain, and enforce measures necessary to pursue legitimate public policy objectives, such as securing the supply of energy goods and raw materials, protecting society, the environment, public health and consumers and promoting public security and safety.

ARTICLE 14.2

Objectives

1. The objectives of this Chapter are:
 - (a) to facilitate and increase existing and future trade and investment and enhance cooperation between the Parties in the areas of energy and raw materials including renewable energy and energy efficiency with a view to favour the energy transition, contributing to the achievement

of the Parties' respective net-zero greenhouse gas emissions goals, including through the use of green technologies;

- (b) to improve environmental sustainability in the areas of energy and raw materials.

ARTICLE 14.3

Definitions

For the purposes of this Chapter:

- (a) "authorisation" means the permission, license, concession or similar administrative or contractual instrument by which the competent authority of a Party entitles an entity to exercise a certain economic activity in its territory;
- (b) "entity" means any natural person or enterprise or group thereof;
- (c) "energy goods" means, for the purpose of this Agreement, based on the Harmonized System of the Customs Co-operation Council and, where applicable, the Combined Nomenclature of the European Communities, natural gas including liquefied natural gas, liquefied petroleum gas (LPG) (HS 27.11), electricity (HS 27.16), crude oil (HS 27.09-27.10), solid fuels (HS 27.01, 27.02, 27.04), biogas (HS 38.25) and biodiesel (HS 38.26);
- (d) "raw materials" means substances used in the manufacture of industrial products, excluding processed fishery products, agricultural products; for the purpose of this Agreement, 'raw materials' consist of salt, sulphur earths and stone, plastering materials, lime and cement (HS 25), ores, slag and ash (HS 26), goods included in HS 27, inorganic chemicals (HS 28), organic chemicals (HS 29) fertilizers (HS 31), natural rubber (HS 40), raw hides, skins and leather (HS 41), pulp of wood (HS 47), and basic & precious metals and processed minerals (ex HS 71, 72; 74-76; 78-81). This definition excludes uranium/thorium (HS 26.12) and radioactive elements/isotopes (HS 28.44, 28.45), but includes monazite (HS 26.12.20.10) and excludes specialty pharmaceuticals and chemicals (in HS 29 chapter). This definition includes also HS 38011000 Graphite, as well as HS 3815 11 00 "Reaction initiators, reaction

accelerators and catalytic preparations, not elsewhere specified or included: With nickel or nickel compounds as the active substance”;

- (e) "renewable energy" means energy, including electric energy, produced from renewable sources in a sustainable manner, such as wind, solar, geothermal, hydrothermal, ocean, osmotic and ambient energy, hydropower, biomass, biofuels, landfill gas, sewage treatment plant gas or biogases¹.
- (f) "biofuels" means liquid fuel produced from biomass consisting, among others, of vegetable oils including palm oil, rapeseed oil or soybean oil;
- (g) "renewable fuels" means biofuels, bioliquids, biomass fuels and renewable fuels of non-biological origin;
- (h) "renewable fuels of non-biological origin" means liquid and gaseous fuels, including hydrogen and its derivatives, the energy content of which is derived from renewable sources other than biomass;
- (i) “balancing” means all actions and processes, in all timelines, through which network operators² ensure, in a continuous way, maintenance of the system frequency within a predefined stability range and compliance with the amount of reserves needed with respect to the required quality; and
- (j) "non-household customer" means an entity that uses, processes or trades any of the raw materials for the purposes of performing an economic activity.

ARTICLE 14.4

Authorisation for exploration or production of energy goods and raw materials

1. If a Party requires an authorisation to explore or produce energy goods or raw materials in its territory, that Party shall ensure that the requirements and procedures for granting the authorisation,

¹ This definition is without prejudice to sustainability requirements that each Party may introduce in its law in order to recognise energy as renewable, provided that such requirements are consistent with this Agreement and with international trade rules by which the Parties are bound, in particular in relation to the principle of non-discrimination

² For greater certainty, for Indonesia this includes also electricity suppliers, based on Indonesia law.

including the identification of the relevant area or part thereof, and the proposed date or time limit for requesting or granting the authorisation, are established in advance, are made publicly available in such a manner as to enable interested entities to apply and are non-discriminatory between entities of each Party.

2. Each Party may require an entity which has been granted an authorisation to produce upstream hydrocarbons to pay a financial contribution or a contribution in kind. The contribution shall not discriminate between entities of each Party and shall be determined in such a manner so as not to interfere with the management and the decision-making process of the entity which has been granted an authorisation.

3. Each Party shall ensure that entities of either Party which have tried but failed to obtain an authorisation or concession from the other Party are provided with the reasons for the rejection of its application so as to enable such a person to have recourse to procedures for appeal or review where necessary. The procedures for appeal or review shall be made public in advance. In the case of Indonesia, this paragraph shall not apply to hydrocarbons.

ARTICLE 14.5

Access to energy transport infrastructure

1. Each Party shall ensure that owners or operators of electricity and gas transmission and distribution networks³ in its territory grant non-discriminatory access to such infrastructure to entities of the other party under conditions not less favourable than those applicable to entities of that party that are authorised to produce gas or electricity.

2. Unless it follows automatically from the authorisation to produce gas or electricity for own use⁴, such access shall be granted within a reasonable period-of-time from the date of the request for access. Each Party must ensure that the terms for access and use are objective, transparent, non-arbitrary, and do not discriminate among users of such infrastructure, without prejudice to each Party's right to set the conditions for the right to produce gas, and electricity for own use.

³ For greater certainty, LNG terminals are part of the gas transport infrastructure as regulated in respective parties' law and subject to the provision- article 6- in the same way as "transmission and distribution networks".

⁴ In the case of Indonesia, access to electricity networks refers to electricity for own production and use, either remotely or on-site, as well as all other instances as provided for in their law.

3. Each Party shall maintain a regulatory body(ies) entrusted to impartially address or settle disputes regarding appropriate terms, conditions and tariffs for access and use of electricity and gas transmission and distribution networks within a reasonable period-of-time. Each Party shall ensure that entities of the other party aggrieved by a determination or decision of such body(ies) have the option to recourse to an independent appeal body which may or may not be a judicial authority.

ARTICLE 14.6

Electricity generated from renewable energy sources

1. The Parties recognise the important contribution renewable energy can make in reducing greenhouse gas emissions to mitigate climate change.

2. To this end, each Party shall:

- (a) seek to facilitate investment in renewable energy generation; and
- (b) seek to facilitate the integration of renewable energy generation into electricity systems.

2. With regard to access and use of electricity transport infrastructure⁵, each Party shall ensure that its own network owners and operators⁶, with respect to renewable electricity suppliers of the other Party:

- (a) enable a physical connection to be established between new renewable electricity generation facilities and the electricity network;
- (b) enable the reliable use of the electricity network to supply electricity generated by renewable electricity suppliers of the other Party;
- (c) provide or enable provision of balancing services; and

⁵ For greater certainty, this refers to instances of access to energy grids as provided for in Indonesia law.

⁶ For greater certainty, for Indonesia, the term 'network owners and operators' may include electricity suppliers if they hold responsibility for the transmission system operation under Indonesia Law .

- (d) take appropriate grid and market-related operational measures in order to minimise the curtailment of electricity produced from renewable energy sources.

3. This paragraph is without prejudice to the right of each Party to adopt or maintain derogations from the commitments under subparagraphs (a) to (d) of paragraph 2 based on objective and non-discriminatory criteria, provided such derogations are necessary to fulfil a legitimate policy objective, such as the need to maintain the stability of the electricity system.

ARTICLE 14.7

Cooperation on energy and raw materials

In accordance with the provisions of Chapter 17[Economic cooperation and capacity building], the Parties shall cooperate in the area of energy and raw materials with a view to, inter alia:⁷

- (a) reduce or eliminate trade and investment distorting measures in third countries affecting energy and raw materials while fully preserving the sovereign right over natural resources, in accordance with Article 14.1.
- (b) without prejudice to their respective policy preference, coordinate as appropriate their positions in international fora where trade and investment issues related to energy and raw materials are discussed and foster international programmes in the areas of energy efficient, renewable energy and raw materials;
- (c) foster exchange of aggregated market data in the area of energy and raw materials;
- (d) promote research, development and innovation in the areas of energy efficiency, renewable energy and raw materials;
- (e) foster exchange of information and best practices on domestic policy developments in the area of renewable energy and

⁷ The Provision of paragraph 1 subparagraph c and e of this article shall not extend to the geological and other minerals distribution data.

- (f) promote internationally recognized standards of safety and environmental protection for offshore oil, gas and mining operations, by increasing transparency, sharing information, including on industry safety and environmental performance.

ARTICLE 14.8

Assessment of environmental impact

1. Each Party shall ensure that- in accordance with its law - an environmental impact assessment is required to be carried out before that Party grants authorisation for a project related to the production of energy goods or raw materials, if the project by virtue, amongst others, of its nature, size or location may have a significant impact on the environment relating to the aspects listed in paragraph 2.
2. The environmental impact assessment shall identify and assess as appropriate the significant effects of the project on the following aspects: a) population and human health; b) biodiversity; c) land, soil, water, air and climate; and, d) cultural heritage and landscape, including the expected effects deriving from the vulnerability of the project to risks of major accidents and/or disasters that are relevant to the project concerned⁸.
3. Each Party shall ensure that an opportunity and an appropriate time period is given to the relevant entities⁹ to provide comments on the environmental impact assessment report carried out for the purposes of the requirement pursuant to paragraph 1.
4. Each Party shall take into account the findings of the environmental impact assessment and make the results of the process referred to in paragraph 3 available to the relevant entities¹⁰, prior to granting authorisation for the project.

⁸ For greater certainty, in accordance with Indonesia law, the identification of the significant effects of the projects on the factors of the environment from a) to d) may vary from one area to another.

⁹ For greater certainty, the relevant entities are:

For the EU, the “public concerned”, as defined in its law.

For Indonesia, directly affected communities as defined in its law. Environmental observers, researchers, or supporting non-governmental organizations who have fostered and/or assisted the directly affected communities may be involved as a part of the directly affected communities.

¹⁰ For greater certainty, the relevant entities are:

For the EU, the public concerned;

For Indonesia, directly affected communities.

ARTICLE 14.9

Off-shore risk and safety

1. Each Party shall ensure that regulatory functions relating to safety and environmental protection of offshore oil and gas operations are conducted independently from functions, relating to economic development or licensing of offshore oil and gas operations, such as by ensuring that they are conducted by separate legal entities.
2. Each Party shall establish the conditions necessary for safe offshore, exploration and production of oil and gas in its territory, in order to protect the marine environment and coastal communities against pollution. These conditions shall be based on relevant international standards of safety and environmental protection for offshore oil and gas operations that are recognised by the Parties.

ARTICLE 14.10

Renewable fuels

1. The Parties recognise the important contribution of renewable fuels, also of non-biological origin, including renewable hydrogen and its derivatives, in reducing greenhouse gas emissions to address climate change.
2. With respect to renewable fuels including biofuels from palm oil, the Parties affirm they will act consistently with international trade rules by which they are bound, in particular in relation to the principle of non-discrimination, including, where applicable, the WTO Agreement on Technical Barriers to Trade.

3. In accordance with the Chapter 18¹¹, the Parties shall, as appropriate, cooperate on convergence or harmonization of certification schemes for renewable fuels, such as with regards to lifecycle emissions, sustainability and safety standards.

ARTICLE 14.11

Energy transition

1. The Parties recognise the importance of rapidly increasing the deployment of emerging clean energy technologies and expansion of clean energy capacity, including by accelerating the deployment of net-zero technologies, such as hydropower, micro-hydro as well as wind (onshore and offshore), solar PV, concentrated solar power, sustainable bioenergy, geothermal, ocean and tidal energy, renewable hydrogen, as well as other sustainable energies and technologies, and therefore reaffirms their commitments to achieve a clean energy transition to meet net zero emissions, in line with the Parties' commitments under the Paris Agreement.

2. For that purpose, pursuant to the Chapter 17 (Economic Cooperation and Capacity Building), by means of a dedicated forum, both parties shall cooperate in assisting the other Party to achieve their clean energy transition goal, including in the forms of technical assistance, exchange of best practices, policy support and dialogue or other forms of development cooperation to be further agreed, as well as exchange of views and information regarding transfer of technology.

3. The Parties shall facilitate existing and future investments in the territories of the other party that enable the expansion of access to clean and reliable energy, and to build and upgrade reliable, resilient power infrastructure including transmission and smart grids, without prejudice to relevant requirements in their law.

4. Upon request of one Party, the Parties shall hold technical consultations on relevant requirements in their laws which may hamper existing or future investments in renewable and clean energy, as well as power infrastructure of investors of one of the requesting Party. The Parties shall endeavour to resolve the matter as expeditiously as possible within [60] calendar days from the date of receipt of the request. If the requesting Party believes that the matter is urgent and require

¹¹ ECONOMIC COOPERATION AND CAPACITY BUILDING Chapter.

immediate settlement, it may request a shorter time frame. In such cases, the requested Party shall give positive consideration to such request. If the Parties cannot resolve the matter, the requesting Party may suspend in full or in part the implementation of the cooperation provided for by paragraph 2 of this Article.

ARTICLE 14.12

Support measures in trade and investment in renewable energy production

With respect to financial support for the production of electricity from renewable sources, where available, each Party shall:

- (a) ensure that it is granted in a transparent and non-discriminatory manner;
- (b) clearly define the technical specifications which are to be met by renewable energy equipment and systems in order to benefit from the support; and
- (c) ensure that it is designed so as to maximise the integration of electricity from renewable sources in the electricity market of that Party¹².

ARTICLE 14.13

Cooperation on raw materials

1. The Parties shall, as appropriate, in accordance with chapter 17 (Economic Cooperation and Capacity Building), cooperate in the area of raw materials value-chains with a view to, inter alia:

- (a) facilitating trade and investment linkages to ensure the establishment of well-functioning, sustainable and resilient raw materials supply chains;

¹² For Indonesia this would take place in the context of the RUPTL/ long term planning as set in Indonesia Law.

- (b) promoting responsible business conduct in accordance with relevant international standards that have been endorsed or are supported by the Parties, and working jointly towards adoption of such international standards in their supply chains- including those governing environmental, social, and governance (ESG) aspects- with the aim of encouraging investments and value addition in their respective economies.

In order to promote trade and investment linkages, the Parties will facilitate business to business networking that can promote investment opportunities and facilitate integration of raw materials value chains.

2. Upon request of one Party, the Parties shall hold technical consultations on relevant requirements in their laws which may hamper existing or future investments along the raw materials value chains, as well as trade or investment linkages. The Parties shall endeavour to resolve the matter as expeditiously as possible within [60] calendar days from the date of receipt of the request. If the requesting Party believes that the matter is urgent and require immediate settlement, it may request a shorter time frame. In such cases, the requested Party shall give positive consideration to such request. If the Parties cannot resolve the matter, the requesting Party may suspend in full or in part the implementation of the cooperation provided in this Article.

3. Recognising that research, development and innovation are key elements to further develop efficiency, sustainability and competitiveness of the raw material value chains, the Parties agree to cooperate as appropriate, inter alia, in:

- (a) facilitating, such as through joint initiatives, the research, development, innovation and dissemination of environmentally sound and cost-effective technologies, processes and practices across the raw materials value chains, including, by identifying suitable solutions for the effective implementation of this Chapter such as promoting a centre of excellence for sustainable raw materials based on the mutual appreciation of the Parties of progress made towards the adoption of international standards, including those governing environmental, social, and governance (ESG) considerations in their supply chain;
- (b) strengthening capacity building in the context of research, development and innovation initiatives;

- (c) identification of areas of common interest for cooperation on research, development, and innovation activities covering the entire raw materials value chain, including cutting-edge technologies, smart mining and digital mines; or
 - (d) facilitate exchanging of best practices on mining and processing licences, permitting and procedures.
4. Recognising their shared commitment to responsible and sustainable production and sourcing of raw materials and their mutual interest to facilitate the integration of raw materials value chains, the Parties agree to cooperate on any relevant issue of mutual interest, such as:
- (a) responsible mining practices and raw materials value chains sustainability, including the contribution of the raw materials value chains to the fulfilment of the UN Sustainable Development Goals; and ensuring that both Parties foster capacity building and technology development to effectively achieve these objectives;
 - (b) effective and efficient implementation of environmental and social impact assessments and standards to underpin the relevant permitting and licensing processes in the area of raw materials; or
 - (c) environmental, social and governance standards, including safety standards, along the raw materials value chain and enforcement of the regulatory frameworks, to foster the application and improvement of best available technologies and capacity building efforts while ensuring that domestic industries are not unduly burdened.
5. To implement the cooperation provided for in this Article and in accordance with chapter 17 (Economic Cooperation and Capacity Building), Parties may decide to designate a dedicated forum for discussion, or undertake any joint initiatives aimed at strengthening sustainable value chains, experience-sharing or identifying best practices in common areas of interest.

ARTICLE 14.14

Export and domestic pricing

1. Except for export duties, taxes or other charges that are permissible under paragraph 2 of Article 2.6 [Export duties, taxes or other charges] of Chapter 2 (National treatment and market access for goods), a Party shall not impose a higher price for its exports of raw materials to the other Party than the price charged for such raw materials when destined for the domestic market, by means of any measure such as licenses or minimum export pricing requirements.

2. If a Party regulates the price of the supply of raw materials to a non- household customer in its market, it may do so only to achieve a public policy objective. Such regulated price shall be based on objective, clearly defined, transparent and non-discriminatory criteria, it shall be proportionate to the public policy objective pursued and made publicly available. Upon request of the other Party, the Party that has introduced or maintains a regulated price shall provide any further information.